WANTED: A HEALING TOUCH

After two Covid-battered years and in the midst of assembly elections, the government is likely to attempt a feelgood budget for 2022-23

BY SHWWETA PUNJ

2022 was meant to be a crucial year for Prime Minister Narendra Modi. After nearly two years of anxiety, rising prices, supply chain disruptions, declining investments and stagnant demand, this was the year to get the economy back on an even keel. However, Omicron's rapid spread has only added to existing vulnerabilities.

As some of India's key states, including its most populous province, Uttar Pradesh, go to polls, the budget is likely to be populist. However, a whole host of factors, including an end to the dream run of rising tax revenues and disinvestment not yielding the desired returns, will restrict spending. Food and fertiliser subsidies will continue, and allocation for schemes such as MNREGA or the National Rural Employment Guarantee Act, will increase. After two brutal years, Budget 2022-23 could well be a 'feelgood' one.

SPENDING HIGH ON GROWTH

The health of India's economy depends on the health of its people. The previous budget had earmarked Rs 35,000 crore for vaccination; this one could see a sizeable allocation for booster doses and health infrastructure.

Food and fertiliser subsidies as well as MNREGA are expected to be the other areas of major expenditure. Ex-finance secretary Subhash Chandra Garg predicts a further rise in food subsidy. The government has spent nearly Rs 6 lakh crore on MNREGA this year, over Rs 2 lakh crore more than what was budgeted. The flagship Jal Jeevan Mission will continue to remain in focus. The project, which aims to provide tap water connections to 18.6

HOW THE INDIAN ECONOMY STACKS UP

Budget 2022-23 will have to navigate stagnant private investment, muted demand with constrained revenues

